



## CHAPTER 29.

An Act to amend the Unemployment Insurance Acts, 1935 to 1938, and to provide for the payment of contributions under the National Health Insurance Act, 1936, and the Widows', Orphans' and Old Age Contributory Pensions Act, 1936, in respect of holiday periods.

[13th July 1939.]

**B**E it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1.—(1) An insured contributor shall not be deemed to be unemployed for the purposes of the principal Act on any day on which he is on holiday. Provisions  
as respects  
holidays.

(2) The Minister may make regulations for determining—

(a) whether an insured contributor, in the circumstances specified in the regulations, is or is not to be deemed to be on holiday for the purposes of the principal Act and this Act and any regulations made thereunder; and

(b) whether an employed contributor within the meaning of the National Health Insurance Act, 1936, in the circumstances specified in the regulations, is or is not to be deemed to be on holiday for the purposes of any regulations made by virtue of the next following subsection; and

26 Geo. 5. &  
1 Edw. 8.  
c. 32.

- (c) whether payments received by an employed person in the circumstances specified in the regulations are or are not to be deemed, for the purpose of the provisions of the principal Act relating to the payment of contributions, to be remuneration paid in respect of any week during the whole or part of which the employed person was on holiday.

26 Geo. 5. &  
1 Edw. 8.  
c. 33.

(3) The powers of the Minister of Health, and of the Department of Health for Scotland, to make regulations under the National Health Insurance Act, 1936, and the Widows', Orphans' and Old Age Contributory Pensions Act, 1936, shall include power to make regulations for determining whether payments received by an employed contributor, in the circumstances specified in the regulations, are or are not to be deemed, for the purpose of the provisions of those Acts relating to the payment of contributions, to be remuneration paid in respect of any week during the whole or part of which the employed contributor was on holiday.

(4) Any such regulations as aforesaid may be made so as to apply either generally as respects all insured contributors, employed contributors or employed persons, or as respects any particular insured contributors, employed contributors or employed persons, or any class or classes thereof.

1 & 2 Geo. 6.  
c. 3.

(5) Any reference in the foregoing provisions of this section to an employed contributor shall be construed as including a reference to a juvenile contributor within the meaning of the National Health Insurance (Juvenile Contributors and Young Persons) Act, 1937.

(6) Notwithstanding anything in subsection (1) of section forty-nine of the principal Act, where an appeal to the umpire from a court of referees has been brought (within twenty-one days from the date on which the decision of the court was given) on the ground that the claimant was on holiday during the period or part of the period in respect of which his claim has been allowed by the court, benefit shall not be payable pending the appeal in respect of that period or that part of that period.

(7) Subsections (1) and (6) of this section, and any regulations made under the foregoing provisions of this

section, shall not come into operation until the eighteenth day of January nineteen hundred and forty.

(8) Pending the coming into operation of any regulations made under the foregoing provisions of this section, the Minister may by regulations provide that, for the purpose of any claim to benefit by an insured contributor, he shall, in such circumstances and subject to such conditions as may be specified in the regulations, be deemed to be unemployed on any recognised or customary holiday occurring during a period for which his employment is suspended, being a period consisting of not less than fourteen consecutive days exclusive of such holidays.

2.—(1) Where arrangements have been approved by the Minister whereunder payments are receivable from an employer by insured contributors whose employment is suspended or terminated, an insured contributor shall not for the purposes of the principal Act, by reason only of his receipt of any payment in pursuance of the arrangements—

Provisions as to payments received after suspension or termination of employment.

- (a) if his employment is suspended, be deemed to be employed during the period of suspension; or
- (b) if his employment is terminated, be deemed not to be unemployed by virtue of subsection (6) of section thirty-five of the principal Act.

(2) The Minister may by regulations prescribe—

- (a) the circumstances and conditions in and subject to which arrangements will be approved by him under this section; and
- (b) the circumstances in which an insured contributor's employment is or is not to be treated as suspended for the purposes of this section and any such arrangements:

Provided that an insured contributor's employment shall not be treated as suspended while he is on holiday.

3.—(1) The maximum period by which two periods may be separated, in order that they may be treated under subsection (1) of section thirty-five of the principal Act as one continuous period of unemployment, shall be a period of twenty weeks instead of a period of ten weeks; and accordingly that subsection shall have effect as if

Amendment as respects continuous periods of unemployment.

the word "twenty" were substituted for the word "ten."

(2) In relation to continuous periods of unemployment, the following provisions shall have effect as respects days on which an insured contributor is deemed not to be unemployed by virtue of subsection (1) of section one of this Act (hereafter in this subsection referred to as "holidays")—

(a) in reckoning the period of consecutive days referred to in subsections (1) and (2) of the said section thirty-five, days separated by holidays shall be treated as consecutive;

(b) the provisions of subsection (3) of the said section thirty-five (which exclude in the computation of continuous periods of unemployment time during which an insured contributor is deemed not to be unemployed) shall apply to holidays in like manner as they apply to time during which an insured contributor is deemed not to be unemployed under the provisions of the principal Act.

(3) This section shall come into operation on the eighteenth day of January nineteen hundred and forty.

Amend-  
ments as to  
increase of  
benefit in  
respect of  
adult  
dependants.

4.—(1) The cases in which an insured contributor, who is entitled to benefit, is entitled to an increase of benefit under section thirty-eight of the principal Act, shall include a case where the insured contributor has residing with him and is wholly or mainly maintaining his daughter or sister, being a daughter or sister who has attained the age of eighteen years and—

(a) who has never been married; or

(b) who is a widow; or

(c) who is separated from her husband in such circumstances that the separation is likely to be permanent; or

(d) whose husband is permanently disabled and unable to work.

(2) In this section the expression "daughter" includes a step-daughter, adopted daughter (whether adopted under the Adoption of Children Act, 1926,

the Adoption of Children (Scotland) Act, 1930, or 20 & 21  
otherwise) and an illegitimate daughter, and the ex- Geo. 5. c. 37.  
pression "sister" includes a half-sister and a step-sister.

(3) For the purpose of paragraph (c) of subsection (2) of the said section thirty-eight (which provides that no increase of benefit shall be payable in respect of a wife or other female who is engaged in any occupation ordinarily carried on for profit) such an occupation shall be deemed not to include the provision of accommodation, whether with or without board, for not more than one lodger.

(4) This section shall come into operation on the second Thursday next after the date on which this Act is passed.

5. Where two or more claims for benefit are made by an insured contributor in respect of different periods in a benefit year, and, at the date when a claim in respect of any such period is determined or revised in favour of the insured contributor by the umpire, court of referees or insurance officer, benefit has been received by him in respect of any subsequent period or periods, the following provisions shall have effect:—

Benefit rights in case of successive claims.

(a) the amount of benefit payable after that date in respect of the several claims shall be adjusted so as to secure that the aggregate number of days in that year for which benefit is payable in respect of all the claims shall not exceed the number of days for which his benefit rights entitle him to receive benefit; and

(b) for the purpose of paragraph (b) of subsection (1) of section thirty-two of the principal Act, the last day in that year in respect of which he received benefit shall be taken to be the day in that year on which he would have exhausted his benefit rights if the claim in respect of each period had been finally determined before the claim in respect of any subsequent period was made.

6.—(1) A supplementary scheme submitted under section seventy-two of the principal Act may apply either to all the insured contributors in any industry or to such class or classes thereof as may be specified in the scheme.

Amendments as respects schemes.

(2) For the purpose of paragraph (b) of subsection (9) of the said section seventy-two (which defines the expression "industry" as meaning any class or classes of establishments or undertakings which the Minister may determine to be an industry), branches or departments of establishments or undertakings may be treated as if they were separate establishments or undertakings.

(3) Where it appears to the Minister that, having regard to any periodic audit and valuation, the fund constituted under a supplementary scheme—

(a) is or is likely to become, and is likely to continue to be, insufficient to discharge its liabilities; or

(b) is and is likely to continue to be more than reasonably sufficient to discharge its liabilities;

the Minister may, after consultation with the body charged with the administration of the scheme, by order make such modifications in any of the rates of contribution or the rates or periods of benefit under the scheme as appear to him to be required in order to make the fund, as the case may be, sufficient or no more than reasonably sufficient to discharge its liabilities.

(4) Any supplementary scheme may empower the body charged with the administration of the scheme to make, if the Minister so directs, such temporary modifications in any of the rates of contribution or the rates or periods of benefit under the scheme as are in the opinion of the Minister sufficient to secure the solvency of the fund constituted under the scheme.

(5) The persons at whose request or on whose application the Minister may vary or amend the provisions of a supplementary or special scheme under subsection (8) of the said section seventy-two, or under subsection (5) of section seventy-three of the principal Act, shall include the body charged with the administration of the scheme.

Crediting of  
contribu-  
tions to  
persons  
receiving  
whole-time  
education.

7.—(1) Subsection (1) of section seventy-five of the principal Act (which empowers the Minister to provide by regulations for the crediting of contributions to persons who continue to receive whole-time education after attaining the age at which the period of compulsory elementary instruction ends) shall have effect as if for the words "the age at which the period of compulsory

elementary instruction ends " there were substituted the words " the age of fourteen years "; and accordingly the definition in that subsection of that period is hereby repealed.

(2) This section shall come into operation on the first day of September nineteen hundred and thirty-nine, but shall not affect any persons who have ceased before that date to receive whole-time education.

8.—(1) The persons for whom training courses may be provided by the Minister under section seventy-seven of the principal Act shall include the following persons, namely,—

Amend-  
ments as  
respects  
training  
courses.

(a) persons who—

- (i) are between the ages of sixteen and eighteen years; and
- (ii) are capable of and available for work but have no work or only part-time or intermittent work; and
- (iii) are in the opinion of the Minister persons in whose case attendance at such a course would be of particular benefit for the purpose of enabling them to obtain regular employment; and

(b) seamen, marines, soldiers and airmen.

(2) In this section the expressions "seamen," "marines," "soldiers" and "airmen" have respectively the same meanings as in section ninety-six of the principal Act, except that "soldiers" shall not include men other than soldiers of the regular forces, and "airmen" shall not include men other than men of the regular air force.

(3) The power of the Minister, under subsection (2) of section seventy-nine of the principal Act, to make payments to persons attending at certain courses specified therein shall be exercisable notwithstanding that the course is provided only for persons who have not attained the age of eighteen years, except in the case of a course provided by an education authority under section seventy-six of that Act.

(4) No grant shall be payable out of the Unemployment Fund under section eighty of the principal Act towards expenses incurred by the Minister in respect

of the attendance of persons who have not attained the age of eighteen years at training courses provided by him under the said section seventy-seven, unless they are in receipt of benefit.

(5) Any increase in the expenses of the Minister under section seventy-seven and subsection (2) of section seventy-nine of the principal Act which is attributable to the passing of this section shall be defrayed out of moneys provided by Parliament.

Amendment  
as to  
prosecutions  
in respect of  
contribu-  
tions.

9.—(1) In any case where an employer—

(a) has been convicted of the offence under subsection (5) of section eight of the principal Act of failing or neglecting to pay a contribution in respect of any person ; or

(b) has been charged with such an offence and an order has been made under subsection (1) of section one of the Probation of Offenders Act, 1907 ;

7 Edw. 7.  
c. 17.

evidence may be given on the conviction or on the making of the order (if notice of intention to do so has been served with the summons or warrant or, in Scotland, with the complaint) of the failure or neglect on the part of the employer to pay other contributions during the two years preceding the date of the offence in respect of any other person employed by him.

(2) Accordingly subsection (3) of section eighteen of the principal Act shall have effect as if after the word " offence " there were inserted the words " and, in the " case of any such conviction or order as is mentioned in " subsection (1) of this section, of the failure or neglect " on his part to pay other contributions during those two " years in respect of any other person employed by him."

Power to  
require  
evidence at  
inquiries.

10.—(1) Where under any provisions of the principal Act or any regulations made thereunder the Minister is required or authorised to hold, or to appoint any person to hold, an inquiry, the Minister or the person so appointed, as the case may be, may by summons require any person to attend, at such time and place as is set forth in the summons, to give evidence or to produce any documents in his custody or under his control which relate to the question which is to be determined :



Provided that no person shall be required, in obedience to such a summons, to go more than ten miles from his place of residence, unless the necessary expenses of his attendance are paid or tendered to him.

(2) Every person who refuses or wilfully neglects to attend in obedience to a summons issued under this section or to give evidence or to produce any such document as aforesaid shall be liable on summary conviction to a fine not exceeding five pounds.

(3) In the application of this section to Scotland, references to a notice shall be substituted for references to a summons.

11.—(1) The Minister may, with the consent of the Treasury, make reciprocal arrangements with the Ministry of Labour for Northern Ireland as respects persons going from Great Britain to Northern Ireland or from Northern Ireland to Great Britain, providing that anything done or not done in either country shall be treated as if it had been done or not done in the other country for the purpose of determining the rights and liabilities of such persons under the law relating to unemployment insurance in force in that other country.

Provisions  
relating to  
Northern  
Ireland.

(2) The Minister may make orders for giving effect to any such arrangements, and any such order may provide that the principal Act shall have effect, in relation to the persons affected by the arrangements, subject to such modifications and adaptations as may be specified in the order.

(3) Any such arrangements may provide for the determination of agreements made under subsection (1) of section one hundred and eight of the principal Act, and, as from the date when the Minister by order declares that no such agreement is in force, that section shall be repealed.

(4) Notwithstanding anything in paragraph (a) of subsection (1) of section one hundred and fifteen of the principal Act, the provisions of section ninety-five of that Act relating to officers and persons given a temporary commission or warrant shall extend to Northern Ireland.

Amend-  
ments of  
First  
Schedule to  
principal  
Act.

**12.**—(1) The employments within the meaning of the principal Act specified in Part I of the First Schedule thereto shall include employment (otherwise than in the naval, military or air service of the Crown) on board any of His Majesty's ships under such a contract as is mentioned in paragraph 1 of that Part of that Schedule:

Provided that the Minister may by regulations provide that persons employed as aforesaid on board any of His Majesty's ships, being persons who are neither domiciled nor ordinarily resident in the United Kingdom, or any class or classes of such persons, shall be treated for the purposes of the principal Act as if they were excluded persons.

(2) For the purpose of paragraph 9 of Part II of the said Schedule (which excepts employment otherwise than by way of manual labour at a rate of remuneration exceeding in value two hundred and fifty pounds a year), the Minister may, in cases where the remuneration is wholly or in part of a varying amount and the rate thereof is accordingly not immediately ascertainable, estimate the rate thereof by reference to—

- (a) the remuneration earned by the employee in the same employment during the last preceding year; or
- (b) the remuneration earned during that year by persons in the same grade in the same employment for the same employer or in similar employments for other employers; or
- (c) if information with regard to the matters aforesaid is not available, any other circumstances which appear to the Minister to be relevant.

(3) For the purpose of the provisions of Part III of the said Schedule excepting employment under a public or local authority where the Minister certifies that the employed person has completed three years' service in the employment, the Minister may, where a person employed in the capacity of a civil servant as defined by section twelve of the Superannuation Act, 1887, transfers to employment under a public or local authority, treat his service as a civil servant as service under the public or local authority.

**13.**—(1) A person who, by virtue of subsection (5) of section seventeen of and the Second Schedule to the Widows', Orphans' and Old Age Contributory Pensions Act, 1936, is treated, for the purposes of the provisions of that Act relating to contributions, as if he had attained the age of sixty-five shall be treated as if he had attained that age for all the purposes of the principal Act.

Certain persons to be treated as over 65.

(2) The Second Schedule to the principal Act shall cease to have effect.

**14.** The Fifth Schedule to the principal Act (which sets out the provisions of that Act which may be amended by order under section fifty-nine of that Act) shall have effect as if there were included therein every provision of this Act amending a provision referred to in that Schedule.

Extension of Fifth Schedule to principal Act.

**15.** Any regulations made under section ten of the Unemployment Insurance (Agriculture) Act, 1936 (which empowers the Minister to make regulations for the repayment of contributions in the case of contracts for yearly and half-yearly hirings) shall cease to have effect as respects contracts made after the third day of July nineteen hundred and thirty-nine, and that section shall be repealed as from the third day of July nineteen hundred and forty.

Repeal of provision as respects periodical hirings in agriculture. 26 Geo. 5. & 1 Edw. 8. c. 13.

**16.** There shall be defrayed out of moneys provided by Parliament—

Expenditure out of moneys provided by Parliament.

(a) any increase in the sums payable out of moneys provided by Parliament by virtue of—

(i) sections twenty-one and ninety-four of the principal Act, and

(ii) sections twelve and one hundred and eighty-five of the National Health Insurance Act, 1936, as amended by any subsequent enactment, and

(iii) section eighteen of the Widows', Orphans' and Old Age Contributory Pensions Act, 1936,

which is attributable to the passing of the provisions of this Act relating to holidays; and

- (b) any increase in the sums so payable by virtue of sections twenty-one, ninety-four and ninety-five of the principal Act which is attributable to the passing of the last foregoing section and the provisions of this Act relating to Northern Ireland and employment on board His Majesty's ships.

Short title,  
construc-  
tion,  
citation,  
repeal  
and extent.

**17.**—(1) This Act may be cited as the Unemployment Insurance Act, 1939, and this Act and the Unemployment Insurance Acts, 1935 to 1938, shall be construed as one and may be cited together as the Unemployment Insurance Acts, 1935 to 1939.

25 & 26  
Geo. 5. c. 8.

(2) In this Act the expression "the principal Act" means the Unemployment Insurance Act, 1935, as amended by any subsequent enactment (including any order made under section fifty-nine of that Act).

(3) The provisions of the principal Act set out in the first column of the Schedule to this Act are hereby repealed to the extent specified in the second column of that Schedule.

(4) This Act shall not extend to Northern Ireland save in so far as it amends or repeals any provision of section ninety-five or section one hundred and fifteen of the principal Act.

**SCHEDULE.**

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Section 17.

**PROVISIONS OF PRINCIPAL ACT REPEALED.**

| <i>Provision of<br/>principal Act.</i> | <i>Extent to which repealed.</i>                                                                                                                                                                   |
|----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Section 5                              | - Paragraph (b) of subsection (3); and subsection (4).                                                                                                                                             |
| Section 7                              | - The words "or to whom the Second Schedule to this Act applies".                                                                                                                                  |
| Section 38                             | - Paragraph (iv) of subsection (2).                                                                                                                                                                |
| Section 73                             | - In subsection (1), the words "or to whom the Second Schedule to this Act applies".                                                                                                               |
| Section 95                             | - In subsection (1), the words "(except in the case of an officer)", and in subsection (2) the words "(except in the case of an officer " or a person given a temporary commission " or warrant)". |
| Section 115                            | - In paragraph (a) of subsection (1), the words "(except in so far as it relates to officers and " persons given a temporary commission or " warrant)".                                            |
| The Second Schedule.                   | The whole Schedule.                                                                                                                                                                                |

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